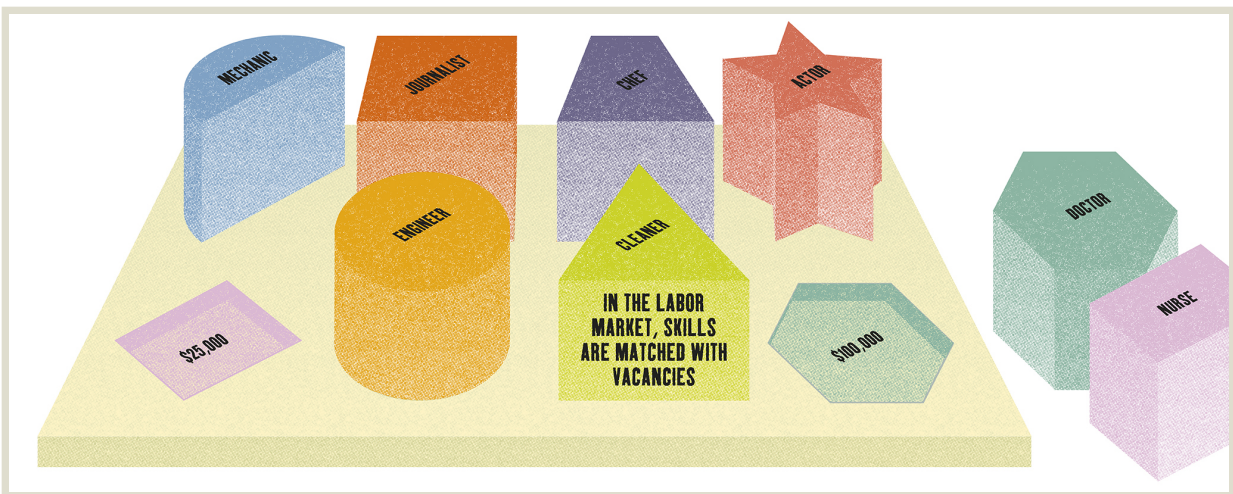


Pricing the job

All businesses, other than one-person businesses and partnerships, need to employ workers. And most people need some kind of employment to earn the money to live on. This provides both supply and demand—employers supply jobs and have a demand for human resources, or labor, and workers supply their labor and have a demand for jobs. The way businesses and workforce interact is known as the “labor market.” As in other markets, supply and demand determine price, in this case the price of labor, or the amount paid in wages or salaries. Employers naturally want to minimize their costs, so they try to keep wages down, while workers negotiate for the highest wages they can. But if there is a plentiful supply of labor, as with any commodity, the price will fall, and employers can pay lower wages when there are a lot of workers looking for jobs. This is often the case with unskilled labor, especially in places with large populations. On the other hand, workers with a particular skill are often scarce, and businesses pay more to employ them.



The rate for the job

In an ideal labor market, workers looking for a job bring the skills required by employers. Highly skilled workers, or those with skills that are scarce, can demand more money for their labor.

A working balance